Ans. (c): Prime Minister has complete discretion to choose his ministers in the cabinet not necessarily from the two houses of parliament but can also choose any other person. That person should become member of either house within 6 months from the date he enters office.

66. If the number of seats allocated to state in the Lok Sabha is 42, then the number of seats reserved for the scheduled castes in that state will be

(a) 21 (b) 14
(c) 7 (d) 6

Ans. (*): Incomplete question. In this question not data is provided for percentage of SC population. That's why the number of reserved seats for SCs cannot be predicted.

67. The power of the Supreme Court of India to decide disputes between the centre and the state falls under its:

(a) Advisory Jurisdiction
(b) Appellate Jurisdiction
(c) Original Jurisdiction
(d) Constitutional Jurisdiction

Ans. (c): According to Article 131, The SC has original jurisdiction in any dispute- (a) between the Government of Indian & one or more states; or (b) between the Governmentt of India and any state or states on the side and one or more other states, or (c) between two or more states:

68. When the Chief Justice of High Court acts in an administrative capacity, he is subject to:

(a) The writ jurisdiction of any other judges of the High Court.
(b) Special control exercised by the Chief Justice of India.
(c) Discretionary powers of the governors of the state.
(d) Special powers provided to the Chief Minster.

Ans. (a): Article 226 of the constitution empowers of a High Court to issue writs.
Also when the chief justice of a High Court acts in an administrative capacity, he is subject to the writ jurisdiction of any other judges of the High Court.

69. According to the constitution of India the term district judge shall not include:

(a) Chief Presidency Magistrate
(b) Session Judges
(c) Tribunal Judge
(d) Chief judge of a small cause court

Ans. (c): Under Article 236 of the constitution, the term "District Judge" includes judges of a district civil court, additional district judge, joint district judge, assistance district judge, chief judge of a small cause court, chief presidency magistrate additional chief presidency magistrate, session judge and assistance sessions judge and additional sessions judges.

70. What is the system of governance in the Panchayati Raj set up?

(a) Single tier structure of local self government at the village level
(b) Two tier system of local self government at the village and block levels
(c) Three tier structure of local self government at the village block and district levels
(d) Four tier system of local self government at the village, block district and in the state levels.

Ans. (c): According to the 73rd Amendment Act, three tier system of Panchayat exists: Village Panchayat at village level, District Panchayat at district level, the Intermediate Panchayat which stands between the village and District Panchayats in the states where the population is above 20 lakhs.

ECONOMY

71. A redistribution of income in a country can be best brought about through

(a) Progressive taxation combined with progressive expenditure.
(b) Progressive taxation combined with regressive expenditure.
(c) Regressive taxation combined with regressive expenditure.
(d) Regressive taxation combined with progressive expenditure.

Ans. (a): Progressive taxation combined with progressive expenditure. It is the best way redistribution of income in a country.
Redistribution of income and wealth is transfer of income and wealth (including physical property) some individuals to other through a social mechanism. Such as taxation, welfare, public services lender form monetary policies, confiscation, divorce etc.

72. Which one of the following is correct regarding stabilization and structural adjustment as two components of the new economic policy adopted in India.

(a) Stabilization is a gradual, multi step process while structural adjustment is a quick adaption process
(b) Structural adjustment is a gradual multi-step process, while stabilization is a quick adoption process.
(c) Stabilization and structural adjustment are very similar and complimentary policies. It is difficult to separate one from other
(d) Stabilization mainly deals with a set of policies which are to be implemented by the central government while structural adjustment is to be set in motion by the state governments.

Ans. (a): New Economic Policy was adopted in 1991 based on Rao-Manmohan model. Stablization component of any economy is essentially a shorter term programme while the structural readjustment component is a long term process.

73. Assertion (A): An important policy instrument of economic liberalization is reduction in import duties on capital goods.

Reason (R): Reduction in import duties would help the local entrepreneurs to improve technology to face the global markets.
In the context of the above two statements, which one of the following is correct ?

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true and R is not a correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

Ans. (a): Both A and R are true and R is the correct explanation of A.

74. One of the important goals of the economic liberalisation policy is to achieve full convertibility of the Indian rupee. This is being advocated because

(a) convertibility of the rupee will stabilize its exchange value against major currencies of the world
(b) it will attract more foreign capital inflow in India
(c) it will help promote exports
(d) it will help India secure loans from the world financial markets at attractive terms

Ans. (b): The full convertibility of the Indian currency means that the rupee is freely exchangeable into other international currencies and vice versa. Also, this would mean that international investors can buy and sell Indian assets at will. After 1994, the rupee has been partially convertible which means that the currency is changed freely into foreign currency for business and trade expenses. But it cannot be converted freely for acquiring overseas assets. Experts feel full convertibility of rupee would facilitate growth and higher foreign investments.
Hence option (b) is correct .

75. Hawala transactions relate to payments

(a) received in rupees against overseas currencies and vice versa without going through the official channels
(b) received for sale/transfer of shares without going through the established stock exchanges
(c) received as commission for services rendered to overseas investors/buyers/ sellers in assisting them to get over the red tape and/or in getting preferential treatment
(d) made to political parties or to individuals for meeting election expenses

Ans. (a): Hawala is an illegal method of remittance across countries. There are money brokers who are the middlemen who undertake hawala transfers. This method of remittance does not involve the physical movement of cash. It is also known as Hundi. The word Hawala means trust. The Hawala system works as it is based on mutual trust between the hawala agents. It works outside the banking system and legal financial systems. The remittance happens based on communication between the hawala agents. It is an alternate to the traditional remittance system.

76. The Eighth FiveYear Plan is different from the earlier ones. The critical difference lies in the fact that

(a) it has a considerably larger outlay compared to the earlier plans
(b) it has a major thrust on agricultural and rural development
(c) considerable emphasis is placed on infrastructure growth
(d) industrial licensing has been abolished

Ans. (a): Eighth Five Year Plan (1992-97) had a bigger outlay with energy being given 26.6% of total outlay to a cheque a targeted growth rate of 6.78% per annum.

77. In India, rural incomes are generally lower than the urban incomes. Which of the following reasons account for this ?

I. A large number of farmers are illiterate and know little about scientific agriculture.
II. Prices of primary products are lower than those of manufactured products.
III. Investment in agriculture has been low when compared to investment in industry.

Select the correct answer by using the codes given below :
Codes :

(a) I, II and III (b) I and II
(c) I and III (d) II and III